

CFA Program Curriculum Knowledge Map for an Experienced Retail Trader

Executive summary

The CFA Program is structured to move you from **knowing tools** (Level I), to **applying valuation and analysis in context** (Level II), to **integrating everything into portfolio decisions under real-world constraints** (Level III). CFA Institute itself frames the levels as “Learn and describe” (Level I), “Analyze and evaluate” (Level II), and “Integrate and apply” (Level III). ¹

For an experienced retail trader, the biggest “gap versus a professional” usually is not market familiarity; it is **professional-grade rigor**: (a) consistent return/risk measurement and performance interpretation (time-weighted vs money-weighted, attribution, benchmark thinking), (b) fixed-income and credit math (curves, duration/convexity, spread decomposition, structured products), (c) no-arbitrage derivatives valuation beyond payoff diagrams, (d) accounting/financial reporting skill that supports fundamental risk sensing (quality of earnings, off-balance-sheet exposures, pensions/stock comp), and (e) institutional-style portfolio construction (constraints, liquidity, risk budgets, rebalancing, execution-cost measurement and market microstructure). These emphases are explicitly reflected in Level III “common core” coverage (asset allocation, portfolio construction, performance measurement, derivatives & risk management) and in the specialized pathway design. ²

This report provides a **Level-by-Level curriculum map (excluding Ethics/Professional Standards)** with a trader-phrased one-line definition for every CFA learning module, plus topic-level mapping to practical trader skills, professional competencies, and common retail gaps. Topic weights are given from CFA Institute’s official exam pages, and module lists are taken from CFA Institute’s 2026 Topic Outline documents. ³

Scope, sources, and explicitly unspecified assumptions

This map covers the **complete CFA Program curriculum topic areas for Levels I–III** and the **Level III specialized pathway content, excluding Ethics/Professional Standards** (including ethics-related standards content such as the Code/Standards and GIPS modules where applicable). Level III’s structure is **common core + one specialized pathway**, with CFA Institute indicating **65–70% common core** and **30–35% pathway** exam-weight allocation. ⁴

Primary sources are CFA Institute official materials: Level I/II/III exam topic weights (official exam pages) and the 2026 Level I/II Topic Outline PDFs and 2026 Level III pathway topic outline PDFs (which enumerate modules and Learning Outcome Statements at module level). ⁵

Practitioner supplementation (for “how pros do it”) is drawn from standard references on derivatives, valuation, and market microstructure, e.g., Hull (derivatives/risk), Damodaran (DCF/valuation), and Harris (market microstructure and execution). ⁵

Unspecified (and therefore not assumed): your primary markets (US/international), instruments (equities/options/futures/FX/crypto), holding period (intraday/swing/position), strategy style (discretionary technical, event-driven, systematic/quant), leverage constraints, tax jurisdiction, and whether you manage only your own capital or client capital.

Level I knowledge map

Level I topic weights (official) emphasize broad foundations across 10 topic areas (Ethics omitted here), with larger weights in Financial Statement Analysis, Equity, and Fixed Income, and smaller-but-material weights in Quant, Economics, Corporate Issuers, Derivatives, Alternatives, and Portfolio Management. ⁶

Level I module lists below come from CFA Institute's 2026 Level I Topic Outlines. ⁷

Quantitative Methods (6–9%) — The math/stat toolkit that turns “market opinions” into measurable returns, risks, and testable claims. ⁸

Trader-relevant skills: consistent return measurement, compounding intuition, basic distribution/risk reasoning, regression for factor/edge sanity checks, and simulation for scenario thinking.

Professional competencies: correct measure selection (TWR vs MWR), statistical inference discipline (power, Type I/II errors), and regression interpretation with assumption awareness.

Common retail gaps: confusing arithmetic vs geometric returns; overconfidence in small samples; “p-value hunting”; using regressions without diagnostics; ignoring non-normality and path dependence.

- Rates and Returns — How pros compute/compare returns (including compounding) so trade results are comparable across time and strategies. ⁹
- Time Value of Money in Finance — Discounting/compounding cash flows so “price vs value” and implied returns are coherent. ⁹
- Statistical Measures of Asset Returns — Summarizing risk/shape (volatility, skew, kurtosis, correlation) to understand how P&L really behaves. ⁹
- Probability Trees and Conditional Expectations — Turning uncertain paths into expected values to reason about payoff distributions. ⁹
- Portfolio Mathematics — Combining assets (covariance/correlation) to understand diversification and concentration risk. ⁹
- Simulation Methods — Using Monte Carlo/bootstrap intuition to stress strategies beyond a single backtest history. ⁹
- Estimation and Inference — Knowing what your sample can/can't tell you before you “believe” an edge. ⁹
- Hypothesis Testing — Formalizing “is this signal real?” with error control and test selection. ⁹
- Parametric and Non-Parametric Tests of Independence — Checking if variables relate at all (and when correlation is misleading). ⁹
- Simple Linear Regression — Building and interpreting a first-pass factor/driver model with fit and residual checks. ⁹
- Introduction to Big Data Techniques — Knowing what “fintech/AI/ML” means in investment data workflows (at a trader-useful level). ⁹

Economics (6–9%) — The macro/market-structure narrative layer that links policy, cycles, trade, and FX to risk-on/risk-off regimes. ⁸

Trader-relevant skills: macro regime identification (growth/inflation/policy), rate/FX intuition, and “headline-to-asset” translation.

Professional competencies: distinguishing nominal vs real, policy transmission reasoning, and FX mechanics/arbitrage awareness.

Common retail gaps: hand-wavy macro stories without cashflow/rate linkage; misunderstanding FX quote conventions and cross-rates; misreading policy signaling vs action.

- The Firm and Market Structures — How competition shapes pricing power and earnings sensitivity (useful for sector/stock selection). 9
- Understanding Business Cycles — Mapping indicators to cycle phase so you anticipate factor/sector rotations. 9
- Fiscal Policy — How government spending/taxes can shift growth, inflation, and rates (and thus multiples). 9
- Monetary Policy — How central banks steer rates/liquidity and why that changes discount rates and risk premia. 9
- Introduction to Geopolitics — Translating geopolitical risk into tail-risk, commodity/FX shocks, and risk premia. 9
- International Trade — Trade flows, restrictions, and why “global winners/losers” emerge in earnings. 9
- Capital Flows and the FX Market — Who trades FX and why flows can overpower “fair value” short-run. 9
- Exchange Rate Calculations — Cross-rates and basic FX arbitrage math so you don't misprice FX-linked exposures. 9

Corporate Issuers (6–9%) — The corporate finance layer: how firms fund themselves, invest, manage liquidity, and create/destroy shareholder value. 8

Trader-relevant skills: reading issuance/buyback/dividend signals, leverage risk framing, and identifying business model fragility.

Professional competencies: cost of capital thinking, capital allocation evaluation, and governance/stakeholder risk assessment.

Common retail gaps: treating buybacks/dividends as always “good”; ignoring liquidity run risk; misunderstanding how capital structure changes equity optionality.

- Organizational Forms, Corporate Issuer Features, and Ownership — How ownership/legal structure changes control, risk, and financing flexibility. 9
- Investors and Other Stakeholders — Who gets paid first and how stakeholder claims affect downside scenarios. 9
- Corporate Governance: Conflicts, Mechanisms, Risks, and Benefits — How agency problems show up as valuation discounts and blowups. 9
- Working Capital and Liquidity — Why short-term funding and cash conversion cycles can make or break a trade thesis. 9
- Capital Investments and Capital Allocation — How capex decisions feed future cash flows and competitive position. 9
- Capital Structure — How debt/equity mix changes risk, expected return, and “equity-as-call-option” behavior. 9
- Business Models — Identifying where revenues/costs are actually coming from so you don't trade a story. 9

Financial Statement Analysis (11–14%) — How reported numbers are built, where they can mislead, and how to turn accounting into investable signals. 8

Trader-relevant skills: earnings quality checks, cash-vs-accrual sanity, leverage/liquidity screening, and mapping accounting choices to valuation traps.

Professional competencies: IFRS/US GAAP awareness and adjustments, ratio interpretation with footnote context, and building basic models that reconcile statements (important when trading earnings/events). CFA notes Level I FSA is generally IFRS-based unless stated otherwise. ⁸

Common retail gaps: trading earnings headlines without cash flow context; ignoring balance sheet “risk reservoirs”; confusing accounting profit with economic profitability.

- Introduction to Financial Statement Analysis — The workflow for turning filings into investable conclusions. ⁹
- Analyzing Income Statements — Understanding revenue/expense recognition so margins and “beats” are interpretable. ⁹
- Analyzing Balance Sheets — Reading assets/liabilities to detect leverage, liquidity risk, and hidden fragilities. ⁹
- Analyzing Statements of Cash Flows I — Seeing how cash is generated/used so earnings aren’t taken at face value. ⁹
- Analyzing Statements of Cash Flows II — Linking operating/investing/financing cash flows to sustainability and funding risk. ⁹
- Analysis of Inventories — Inventory accounting as a lens for cyclicalities, pricing power, and earnings management. ⁹
- Analysis of Long-Term Assets — Depreciation, impairments, and capex signals for long-horizon cash flows. ⁹
- Topics in Long-Term Liabilities and Equity — Debt structure and equity accounts that change downside math. ⁹
- Analysis of Income Taxes — Tax effects that alter true profitability and cash conversion. ⁹
- Financial Reporting Quality — Spotting aggressive accounting and low-quality earnings before the market reprices. ⁹
- Financial Analysis Techniques — Ratio frameworks that connect statements to operating and financial risk. ⁹
- Introduction to Financial Statement Modeling — Building a simple forward view so valuation isn’t purely narrative. ⁹

Equity Investments (11–14%) — How equity markets are organized and how pros translate business fundamentals into equity valuation and selection. ⁸

Trader-relevant skills: market structure awareness, index/benchmark literacy, sector/industry analysis, and simple valuation anchoring (helps avoid “technical-only” tunnel vision).

Professional competencies: coherent thesis formation from business drivers, scenario-based valuation, and industry competitive analysis.

Common retail gaps: ignoring index/flow effects; confusing price momentum with value; weak forecasting discipline.

- Market Organization and Structure — How venues, participants, and rules shape liquidity, spreads, and slippage. ⁹
- Security Market Indexes — How indexes are built/rebalanced so you anticipate flow-driven moves. ⁹
- Market Efficiency — When prices incorporate information quickly (and when edge might exist). ⁹
- Overview of Equity Securities — What equity claims really are (common vs preferred, rights) in risk terms. ⁹

- Company Analysis: Past and Present — Reading historical performance to frame what “normal” should look like. 9
- Industry and Competitive Analysis — Finding where profit pools are and who can defend them. 9
- Company Analysis: Forecasting — Turning drivers into forecasts so trades have probabilistic targets. 9
- Equity Valuation: Concepts and Basic Tools — Using simple DCF/multiples logic to anchor entries/exits and risk. 9

Fixed Income (11–14%) — The “rates/credit/curve” engine of markets: pricing bonds, measuring rate risk, and understanding securitized products. 8

Trader-relevant skills: yield/curve literacy (critical even for equity/options traders because discount rates drive valuations), duration/convexity risk control, and credit spread intuition.

Professional competencies: decomposing returns into carry/roll-down/spread changes, curve construction (spot/forward), and structured product risk (prepay/convexity). Standard practitioner references emphasize duration/convexity and bond risk as core tools. 10

Common retail gaps: treating bond yields as “just a number”; not understanding convexity or embedded optionality; underestimating credit/liquidity regime shifts.

- Fixed-Income Instrument Features — Bond contract terms that determine risk (calls, puts, covenants). 9
- Fixed-Income Cash Flows and Types — Mapping coupon/structure to cash flow timing and risk profile. 9
- Fixed-Income Issuance and Trading — How fixed income actually trades (OTC realities vs screen prices). 9
- Fixed-Income Markets for Corporate Issuers — Credit issuance logic and how spreads reflect borrower risk. 9
- Fixed-Income Markets for Government Issuers — Sovereign curves as macro barometers and benchmark building blocks. 9
- Fixed-Income Bond Valuation: Prices and Yields — Pricing bonds and translating price into yield and back. 9
- Yield and Yield Spread Measures for Fixed-Rate Bonds — Reading spreads properly (not mixing conventions). 9
- Yield and Yield Spread Measures for Floating-Rate Instruments — Understanding floaters/MM instruments when rates move. 9
- The Term Structure of Interest Rates: Spot, Par, and Forward Curves — Building curve intuition for macro/risk pricing. 9
- Interest Rate Risk and Return — Connecting horizon, duration, and holding-period returns. 9
- Yield-Based Bond Duration Measures and Properties — Using duration/PVBP to size rate risk. 9
- Yield-Based Bond Convexity and Portfolio Properties — Understanding convexity so “small moves” don’t surprise you. 9
- Curve-Based and Empirical Fixed-Income Risk Measures — Risk measures that work when yields move non-parallel. 9
- Credit Risk — Default probability vs loss severity thinking (spread $\neq$ “free money”). 9
- Credit Analysis for Government Issuers — Sovereign/sub-sovereign credit frameworks for crisis risk. 9
- Credit Analysis for Corporate Issuers — Credit ratios and business risk translated into spread risk. 9

- Fixed-Income Securitization — How cash flows are carved up (and where hidden leverage appears). ⁹
- Asset-Backed Security Instrument and Market Features — ABS structures/credit enhancement and why tranche risk differs. ⁹
- Mortgage-Backed Security Instrument and Market Features — Prepayment/extension risk and negative convexity intuition. ⁹

Derivatives (5–8%) — The payoff language of markets: forwards/futures/swaps/options priced by no-arbitrage and replication. ⁸

Trader-relevant skills: structuring trades with defined exposures, understanding implied financing via cost-of-carry, and avoiding “Greeks blindness.” Standard derivatives texts emphasize bridging theory and practice for pricing and risk management. ¹¹

Professional competencies: no-arbitrage valuation, hedge replication logic, and using derivatives to shape portfolio exposures rather than only to speculate.

Common retail gaps: payoff-diagram understanding without valuation; misunderstanding carry/dividends/borrowing; using options strategies without volatility/Greek decomposition.

- Derivative Instrument and Derivative Market Features — Knowing what a derivative is and how OTC vs exchange affects risk. ⁹
- Forward Commitment and Contingent Claim Features and Instruments — The core contract types and how they differ in obligation vs optionality. ⁹
- Derivative Benefits, Risks, and Issuer and Investor Uses — Why derivatives exist (hedge/transfer risk) and their failure modes. ⁹
- Arbitrage, Replication, and the Cost of Carry in Pricing Derivatives — The logic that pins derivative prices to underlyings. ⁹
- Pricing and Valuation of Forward Contracts for an Underlying with Varying Maturities — Forward curves and carry mechanics across maturities. ⁹
- Pricing and Valuation of Futures Contracts — Futures mark-to-market and why futures $\neq$ forwards in practice. ⁹
- Pricing and Valuation of Interest Rates and Other Swaps — Swaps as strip-of-forwards intuition (critical for rate products). ⁹
- Pricing and Valuation of Options — What drives option value (underlying, vol, rates, time) in trader terms. ⁹
- Option Replication Using Put–Call Parity — Synthetic positions and parity checks so you spot mispricings/structure. ⁹
- Valuing a Derivative Using a One-Period Binomial Model — First-principles replication that scales to more advanced pricing. ⁹

Alternative Investments (7–10%) — Non-traditional assets/strategies (private capital, real assets, hedge funds, digital assets) that behave differently under stress. ⁸

Trader-relevant skills: correlation realism (diversification that disappears), fee/illiquidity math, and factor exposures embedded in “alts.”

Professional competencies: evaluating illiquidity premia, understanding fund structures/fees, and performance measurement net-of-fees.

Common retail gaps: chasing “diversifiers” without understanding liquidity gating/return smoothing; ignoring fee drag; misunderstanding private market valuation marks.

- Alternative Investment Features, Methods, and Structures — How alts are structured, owned, and compensated. ⁹
- Alternative Investment Performance and Returns — How to measure alt performance (before/after fees) without fooling yourself. ⁹
- Investments in Private Capital: Equity and Debt — Private equity/debt basics and why returns often come with illiquidity. ⁹
- Real Estate and Infrastructure — Real asset cash flow logic and sensitivity to rates/inflation. ⁹
- Natural Resources — Commodity-linked exposures and their role in inflation/regime hedging. ⁹
- Hedge Funds — Strategy archetypes and why their risk can be hidden in “smoother” returns. ⁹
- Introduction to Digital Assets — Digital-asset market structure and risk framing in portfolio context. ⁹

Portfolio Management (8–12%) — Turning single-trade thinking into portfolio-level risk/return control with IPS-like discipline. ⁸

Trader-relevant skills: position sizing, diversification logic, drawdown management, and recognizing behavioral traps that wreck process.

Professional competencies: formal risk measurement, portfolio optimization concepts, and disciplined planning/construction.

Common retail gaps: no explicit risk budget; inconsistent sizing; performance obsession without drawdown context; unmanaged behavioral bias.

- Portfolio Risk and Return: Part I — The first layer of diversification and risk measurement in portfolio terms. ⁹
- Portfolio Risk and Return: Part II — Extending risk/return thinking to portfolio optimization concepts. ⁹
- Portfolio Management: An Overview — The overall process: objectives, constraints, instruments, implementation. ⁹
- Basics of Portfolio Planning and Construction — Translating goals and constraints into investable allocations. ⁹
- The Behavioral Biases of Individuals — The specific mistakes traders make repeatedly (overconfidence, loss aversion, etc.). ⁹
- Introduction to Risk Management — Identifying, measuring, and controlling risk rather than only chasing return. ⁹

Level II knowledge map

Level II topic weights are broadly balanced across valuation-heavy topics (Equity, Fixed Income, FSA, PM) with smaller weights in Quant/Econ/Corp/Derivatives/Alts (Ethics omitted here). ¹²

Level II module lists below come from CFA Institute’s 2026 Level II Topic Outlines; note the equity topic is presented as **Equity Valuation** in the Topic Outlines. ¹³

Quantitative Methods (5–10%) — Upgrading from “basic stats” to models you can actually use (and misuse) in forecasting and risk work. ¹⁴

Trader-relevant skills: factor modeling beyond single-factor CAPM, time-series forecasting intuition, and ML

vocabulary (especially overfitting risk).

Professional competencies: diagnosing regression/time-series issues (heteroskedasticity, serial correlation, unit roots), and setting up defensible modeling workflows.

Common retail gaps: backtesting without stationarity/overfitting awareness; confusing in-sample fit with tradable edge; ignoring regime shifts.

- Basics of Multiple Regression and Underlying Assumptions — Building multi-driver models (factors) and knowing when they lie. 15
- Evaluating Regression Model Fit and Interpreting Model Results — Reading ANOVA/fit outputs so you don't worship R^2 . 15
- Model Misspecification — Spotting common traps (wrong functional form, heteroskedasticity, serial correlation). 15
- Extensions of Multiple Regression — Working with qualitative variables/logistic setups relevant to classification signals. 15
- Time-Series Analysis — Trend, AR processes, mean reversion, and unit roots for market forecasting realism. 15
- Machine Learning — Supervised/unsupervised methods and, crucially, overfitting control in finance. 15
- Big Data Projects — A practical workflow for data preparation, feature engineering, and model evaluation. 15

Economics (5–10%) — FX parity and growth frameworks that connect macro to expected returns and risk premia. 14

Trader-relevant skills: interpreting carry trades, FX forward pricing, and growth-rate constraints that feed long-horizon return expectations.

Professional competencies: parity-condition reasoning (covered/uncovered), crisis warning signs, and growth accounting logic.

Common retail gaps: treating FX forwards as “opinions” instead of priced parity; misunderstanding situations where UIP fails and why.

- Currency Exchange Rates: Understanding Equilibrium Value — Spot/forward, parity conditions, carry trades, and currency-crisis signals. 15
- Economic Growth — Linking sustainable growth to market appreciation and macro constraints. 15

Financial Statement Analysis (10–15%) — The analyst-grade version of FSA: complex items that often drive real mispricing (and blowups). 14

Trader-relevant skills: adjusting for consolidation/associates, stock-based comp and pensions (major for tech), multinational FX translation effects, and bank/insurer balance sheet reality.

Professional competencies: consistent cross-firm comparability adjustments (IFRS vs US GAAP), financial-report quality frameworks, and integrating FSA into valuation models.

Common retail gaps: ignoring stock comp and pension liabilities; treating banks like “normal companies”; missing translation effects that distort growth narratives.

- Intercorporate Investments — Consolidation/equity method logic so you see what you really own. 15
- Employee Compensation: Post-Employment and Share-Based — Turning stock comp/pensions into valuation-adjusted economics. 15

- Multinational Operations — FX translation/transaction exposure and how it distorts reported performance. ¹⁵
- Analysis of Financial Institutions — Banks/insurers: regulation, leverage, liquidity, and specialized ratios (e.g., CAMELS). ¹⁵
- Evaluating Quality of Financial Reports — A formal approach to spotting low-quality reporting before repricing. ¹⁵
- Integration of Financial Statement Analysis Techniques — Pulling the pieces together into an investable narrative + model. ¹⁵

Corporate Issuers (5–10%) — Corporate actions and capital structure decisions that change equity risk and payoff geometry. ¹⁴

Trader-relevant skills: interpreting dividends/buybacks as signals (or financial engineering), understanding advanced cost-of-capital effects, and restructuring event risk.

Professional competencies: estimating cost of equity/debt under different conditions, ESG risk mapping to cash flows, and restructuring valuation impacts.

Common retail gaps: overreacting to buyback announcements; ignoring that WACC assumptions embed macro regime and survivor bias.

- Analysis of Dividends and Share Repurchases — Payout policy as signal vs leverage tool. ¹⁵
- ESG Considerations in Investment Analysis — Translating ESG exposures into measurable risks/opportunities. ¹⁵
- Cost of Capital: Advanced Topics — Estimating required returns with more realism (top-down/bottom-up drivers). ¹⁵
- Corporate Restructuring — Spin-offs, M&A, reorganizations: where valuation and optionality jump. ¹⁵

Equity Valuation (10–15%) — The professional valuation toolbox (DDM, FCFE/FCFF, multiples, residual income, private-company quirks). ¹³

Trader-relevant skills: building valuation “anchors” to define asymmetric trades, stress-testing scenarios, and understanding why the market can stay “wrong” without you being early/ruined. Damodaran’s valuation materials emphasize DCF logic as discounting risk-appropriate cash flows. ¹⁶

Professional competencies: clean separation of firm vs equity cash flows, coherent terminal value discipline, and multiples selection with comparability control.

Common retail gaps: using P/E without adjusting for cycle/leverage; weak cash-flow forecasting; misusing terminal value; ignoring private-company discounts/control issues.

- Equity Valuation: Applications and Processes — The end-to-end valuation workflow and where it breaks. ¹⁵
- Discounted Dividend Valuation — When dividends are the right cash flow and when they mislead. ¹⁵
- Free Cash Flow Valuation — Valuing based on cash the business can actually distribute. ¹⁵
- Market-Based Valuation: Price and Enterprise Value Multiples — Using comparables without fooling yourself about “cheap.” ¹⁵
- Residual Income Valuation — Valuation via economic profit when cash flows are hard to forecast. ¹⁵
- Private Company Valuation — Liquidity/control adjustments and why private $\neq$ public multiples. ¹⁵

Fixed Income (10–15%) — Moving from “bond math” to term-structure dynamics, arbitrage-free pricing, and credit derivatives. ¹⁴

Trader-relevant skills: curve/rate-vol intuition, embedded-option pricing (callables/MBS), and CDS as a credit spread instrument (relevant even if you trade equities because credit often leads).

Professional competencies: arbitrage-free valuation frameworks, modeling interest-rate dynamics, and using OAS/option-adjusted measures.

Common retail gaps: treating callables/MBS like plain bonds; lacking structural understanding of CDS; ignoring convexity/vol effects.

- The Term Structure and Interest Rate Dynamics — How the curve moves and why it matters for risk premia. ¹⁵
- The Arbitrage-Free Valuation Framework — Pricing fixed income consistently across the curve (no free lunches). ¹⁵
- Valuation and Analysis of Bonds with Embedded Options — Callables/putables/MBS risk seen through option-adjusted lens. ¹⁵
- Credit Analysis Models — Structural/reduced-form intuition linking spreads to default and recovery. ¹⁵
- Credit Default Swaps — CDS mechanics, pricing intuition, and credit exposure management. ¹⁵

Derivatives (5–10%) — Pricing forwards and options in a more general framework (beyond Level I). ¹⁴

Trader-relevant skills: cleaner forward pricing logic across assets and more general contingent-claim valuation intuition.

Professional competencies: correctly valuing and hedging forward commitments and contingent claims across contexts.

Common retail gaps: using “rules of thumb” for option value changes without a coherent pricing framework.

- Pricing and Valuation of Forward Commitments — Forward pricing across contexts (rates, FX, equities, commodities). ¹⁵
- Valuation of Contingent Claims — General option valuation foundations (the stepping stone to advanced strategies). ¹⁵

Alternative Investments (5–10%) — Deeper, more instrument-specific alts: commodities/real estate access vehicles and hedge fund strategy mechanics. ¹⁴

Trader-relevant skills: commodity derivative intuition, REIT/public real estate proxies, hedge fund strategy taxonomy (what risks you’re actually buying).

Professional competencies: distinguishing beta vs true alpha in alternative strategies; understanding fee structures and liquidity constraints.

Common retail gaps: treating “alts” as a single bucket; confusing strategy labels with exposures.

- Introduction to Commodities and Commodity Derivatives — Commodity forward curves, roll yield intuition, and derivative usage. ¹⁵
- Overview of Types of Real Estate Investment — Real estate exposure types and risk drivers. ¹⁵
- Investments in Real Estate through Publicly Traded Securities — REITs and listed vehicles as traded real estate proxies. ¹⁵
- Hedge Fund Strategies — Strategy families and typical exposure stacks (equity, credit, vol, liquidity). ¹⁵

Portfolio Management (10–15%) — The “professionalization” of trading: active management logic, factor models, VaR, and backtesting discipline. ¹⁴

Trader-relevant skills: building/monitoring a strategy as a repeatable process (risk, costs, robustness), and using ETF mechanics intelligently.

Professional competencies: tracking error/information ratio thinking, multifactor risk models, robust VaR estimation, and defensible backtests.

Common retail gaps: ignoring factor exposures; backtesting with leakage/overfit; using VaR without understanding tail limitations.

- Economics and Investment Markets — How macro variables transmit into asset prices and risk premia across markets. ¹⁵
- Analysis of Active Portfolio Management — Skill vs luck framing and the structure of active risk/return. ¹⁵
- Exchange-Traded Funds: Mechanics and Applications — Creation/redemption, tracking error, and how ETF microstructure affects trading. ¹⁵
- Using Multifactor Models — APT/multifactor thinking to decompose risk and build exposures deliberately. ¹⁵
- Measuring and Managing Market Risk — VaR approaches, interpretation, and practical risk control. ¹⁵
- Backtesting and Simulation — Building a backtest you can defend (and knowing common failure modes). ¹⁵

Level III knowledge map

Level III is organized into **core topics** (Asset Allocation, Portfolio Construction, Performance Measurement, Derivatives & Risk Management; Ethics omitted here) plus **one specialized pathway** (Portfolio Management, Private Markets, or Private Wealth). CFA Institute states the core is 65–70% and the pathway is 30–35% of exam weight; the Level III exam page also lists topic weight ranges, including 30–35% for the pathway component. ⁴

Core and pathway module lists below come from CFA Institute’s 2026 Level III topic outline PDFs. ¹⁷

Asset Allocation (15–20%) — Turning capital market expectations into strategic/tactical allocations under constraints. ¹⁸

Trader-relevant skills: macro-to-portfolio translation, scenario-based thinking, risk budgeting, and rebalancing discipline.

Professional competencies: building capital market expectations across asset classes, selecting allocation frameworks (mean-variance, risk budgets, liability-aware), and handling real-world constraints.

Common retail gaps: trading “views” without portfolio context; not separating strategic vs tactical; ignoring liquidity/tax/constraint realism.

- Capital Market Expectations, Part 1: Framework and Macro Considerations — Building a macro forecasting framework that maps to return drivers. ¹⁹
- Capital Market Expectations, Part 2: Forecasting Asset Class Returns — Translating macro into asset-class return/vol/FX expectations. ¹⁹
- Overview of Asset Allocation — Asset-only vs liability-relative vs goals-based allocation logic. ¹⁹
- Principles of Asset Allocation — Optimization, risk budgeting, simulation robustness, and factor-aware allocation. ¹⁹

- Asset Allocation with Real-World Constraints — Taxes, liquidity, behavioral frictions, and when to shift tactically. ¹⁹

Portfolio Construction (15–20%) — Implementing allocations as real portfolios: mandates, benchmarks, liquidity, and trading costs. ¹⁸

Trader-relevant skills: execution-cost measurement, benchmark-aware construction, and understanding institutional constraints (which often drive flows). Market microstructure texts emphasize how market design and order types shape trading outcomes. ²⁰

Professional competencies: constructing equity/fixed-income/alt sleeves, managing leverage and liquidity, and measuring implementation shortfall/VWAP-type costs.

Common retail gaps: ignoring implicit costs/slippage; no benchmark discipline; underestimating liquidity as a first-class constraint.

- Overview of Equity Portfolio Management — Building equity portfolios across passive-to-active spectrum with benchmark awareness. ¹⁹
- Overview of Fixed-Income Portfolio Management — Fixed-income mandates, liquidity realities, and liability-driven thinking. ¹⁹
- Asset Allocation to Alternative Investments — Allocating to illiquid/complex assets without breaking the portfolio's liquidity plan. ¹⁹
- An Overview of Private Wealth Management — Translating client lifecycle/human capital into portfolio design. ¹⁹
- Portfolio Management for Institutional Investors — Pensions/endowments/SWFs/banks/insurers constraints and objectives. ¹⁹
- Trading Costs and Electronic Markets — Measuring spreads/VWAP/shortfall and understanding electronic market structure. ¹⁹
- Case Study in Portfolio Management: Institutional (SWF) — Integrating risks (financial + non-financial) in an institutional context. ¹⁹

Performance Measurement (5–10%) — Knowing whether results came from skill, exposures, or luck (GIPS omitted). ¹⁸

Trader-relevant skills: separating beta vs alpha, diagnosing where P&L came from, and selecting benchmarks that match the strategy.

Professional competencies: holdings/returns-based attribution, fixed-income attribution interpretation, and manager selection frameworks.

Common retail gaps: performance tracking without attribution; no benchmark; evaluating “skill” from a handful of trades.

- Portfolio Performance Evaluation — Measurement vs attribution vs appraisal, and interpreting attribution output. ¹⁹
- Investment Manager Selection — Due diligence logic for selecting/monitoring managers (or strategies) as if you were an allocator. ¹⁹

Derivatives and Risk Management (10–15%) — Using derivatives to engineer portfolio exposures (rates, equity, FX, volatility) and manage risk. ¹⁸

Trader-relevant skills: building option overlays, shaping convexity/tail risk, and running currency hedges with explicit objectives. Hull-style frameworks are widely used to connect derivatives pricing to risk management applications. ²¹

Professional competencies: selecting strategies consistent with portfolio objectives, understanding payoff

replication, and running currency management programs.

Common retail gaps: strategy selection without exposure accounting; ignoring currency as portfolio risk; not modeling hedge ratio mechanics.

- Options Strategies — Practical option structures (spreads, covered calls, protective puts, synthetics) as portfolio tools. ¹⁹
- Swaps, Forwards, and Futures Strategies — Using derivative overlays to target rate/equity/currency exposures and rebalance. ¹⁹
- Currency Management: An Introduction — Currency risk/return effects, hedging programs, and active currency strategy categories. ¹⁹

Specialized pathways (30–35%) — Level III pathway content is chosen at registration (one pathway per attempt), but the “complete curriculum” includes all three pathways. ²²

Portfolio Management Pathway — Institutional-style portfolio strategy depth (index vs active equity, fixed income strategies, execution). ²³

Trader-relevant skills: translating views into benchmark-relative decisions, tracking error control, and execution strategy design.

Professional competencies: index replication/optimization, active share vs active risk, LDI/yield curve positioning, and credit strategy implementation.

Common retail gaps: no benchmark framing; weak transaction-cost measurement; limited fixed-income strategy toolkit.

- Index-Based Equity Strategies — Factor vs cap-weighting, replication methods, and tracking error control. ¹⁹
- Active Equity Investing: Strategies — Bottom-up/top-down/factor/quant approaches and how managers actually run them. ¹⁹
- Active Equity Investing: Portfolio Construction — Risk budgeting, active share vs active risk, and structure choices (long-only to market-neutral). ¹⁹
- Liability-Driven and Index-Based Strategies — LDI logic and index-aware fixed-income positioning. ¹⁹
- Yield Curve Strategies — Curve positioning choices (steepeners/flatteners, roll-down) in portfolio form. ¹⁹
- Fixed-Income Active Management: Credit Strategies — Spread risk, liquidity risk, and CDS usage in credit portfolios. ¹⁹
- Trade Strategy and Execution — Execution design as a source of (or drag on) alpha. ¹⁹
- Case Study in Portfolio Management: Institutional (Endowment) — Putting policy, constraints, and implementation into one coherent decision set. ¹⁹

Private Markets Pathway — GP-centric private markets workflow (structures, value creation, private equity/debt/real estate/infrastructure). ²⁴

Trader-relevant skills: understanding private market deal logic and how it affects public comps, credit cycles, and “exit windows.”

Professional competencies: fund structures/fees, GP/LP alignment, value creation levers, and private valuation vs public pricing.

Common retail gaps: confusing private marks with liquidity value; not understanding fee/carry economics; misunderstanding capital call/distribution timing.

- Private Investments and Structures — How private funds and direct deals are structured and where costs live. 25
- General Partner and Investor Perspectives and the Investment Process — GP/LP roles, incentives, diligence, and exit paths. 25
- Private Equity — VC/growth/buyout logic and valuation in illiquid settings. 25
- Private Debt — Levered loans/mezz/unitranche intuition and downside structuring. 25
- Private Special Situations — Distressed/complex situations where optionality and restructuring drive payoff. 25
- Private Real Estate Investments — Property-level underwriting and macro/rate sensitivity in private RE. 25
- Infrastructure — Long-duration, regulated/contracted cash flows and their risk characteristics. 25

Private Wealth Pathway — HNW/UHNW planning workflow (goals-based planning, taxes, concentrated positions, wealth transfer). 26

Trader-relevant skills: reframing “alpha” around after-tax/after-fee outcomes, risk capacity, and concentrated position management.

Professional competencies: IPS for private clients, lifecycle-based allocation, tax-aware implementation, and legacy/transfer planning.

Common retail gaps: ignoring taxes/after-tax returns; focusing on single-position wins; weak planning for tail risks (health, liability, FX residency).

- The Private Wealth Management Industry — Business models, fees, and the advisor’s role in decision systems. 27
- Working With the Wealthy — Behavioral/family dynamics and governance that shape investment constraints. 27
- Wealth Planning — Goals-based plans, taxes, inflation, and liquidity planning across life stages. 27
- Investment Planning — Tax-aware allocation and evaluating success through reporting/attribution concepts. 27
- Preserving the Wealth — Risk mitigation (insurance, inflation protection, FX risk) as strategy components. 27
- Advising the Wealthy — Concentrated positions, cross-border complexities, entrepreneur/executive cases. 27
- Transferring the Wealth — Gifts, inheritance, philanthropy, and how they drive portfolio constraints. 27

Cross-level prerequisite map and study timeline

Cross-level dependencies and prerequisites

The CFA curriculum is explicitly “modular,” with learning outcome statements at module start and topic/module scaffolding. 28 The practical dependency structure for a trader can be summarized as:

```
flowchart TD
    subgraph L1[Level I: Foundations]
```

```

L1Q[Quant: returns, TVM, stats, regression basics]
L1E[Econ: cycles, policy, FX mechanics]
L1FSA[FSA: statements, quality, modeling basics]
L1EQ[Equity: market structure, indices, basic valuation]
L1FI[Fixed Income: yields, curves, duration/convexity, credit basics]
L1D[Derivatives: no-arb, forwards/futures/swaps/options basics]
L1ALT[Alts: PE/RE/commodities/HF/digital basics]
L1PM[PM: portfolio risk/return, bias, risk mgmt basics]
end

subgraph L2[Level II: Applied valuation + modeling]
  L2Q[Quant: multiple regression, time series, ML, big data projects]
  L2FSA[FSA: consolidation, stock comp/pensions, FX translation, banks, report
quality]
  L2CI[Corp: payouts, ESG, WACC advanced, restructuring]
  L2EQV[Equity Valuation: DDM/FCF/multiples/residual income/private co]
  L2FI[FI: rate dynamics, arb-free valuation, embedded options, CDS]
  L2D[Derivatives: forward commitments + contingent claims valuation]
  L2PM[PM: active mgmt, ETFs, factor models, VaR, backtesting]
  L2E[Econ: FX parity/equilibrium, growth]
end

subgraph L3[Level III: Portfolio integration + specialization]
  L3AA[Asset Allocation: capital market expectations, constraints]
  L3PC[Portfolio Construction: mandates, benchmarks, trading costs]
  L3PERF[Performance: attribution/appraisal, manager selection]
  L3DRM[Derivatives & Risk Mgmt: option overlays, swaps/futures, currency
mgmt]
  L3PATH[Pathway: PM / Private Markets / Private Wealth]
end

L1Q --> L2Q
L1Q --> L2PM
L1Q --> L2FI
L1D --> L2D
L1FI --> L2FI
L1FSA --> L2FSA
L1EQ --> L2EQV
L1E --> L2E
L2PM --> L3AA
L2PM --> L3PC
L2PM --> L3PERF
L2D --> L3DRM
L2FI --> L3DRM
L2EQV --> L3AA
L2FSA --> L3PC
L3AA --> L3PATH
L3PC --> L3PATH

```

L3DRM --> L3PATH
L3PERF --> L3PATH

This dependency structure reflects CFA Institute's stated Level III "common core" focus on asset allocation, portfolio construction, performance measurement, and derivatives/risk management, plus the pathway layer. ²

Trader-oriented study progression timeline

A trader-efficient sequence is to front-load **Quant + Derivatives + Risk**, then build **Fixed Income + FSA**, then move into **Valuation + Portfolio integration** (because portfolio integration is the "professional gap" amplifier). Topic weights and structure constraints still matter, but this ordering reduces rework through prerequisite chaining. ¹

```
gantt
  title Trader-oriented CFA curriculum progression (conceptual)
  dateFormat YYYY-MM-DD
  axisFormat %b

  section Level I foundation blocks
  Quant + risk math + return measurement      :a1, 2026-01-01, 45d
  Derivatives basics (no-arb, parity)          :a2, after a1, 30d
  Fixed income basics (curves, duration)       :a3, after a2, 35d
  FSA basics (statements + quality)            :a4, after a3, 35d
  Econ + FX mechanics                          :a5, after a4, 25d
  Equity + portfolios (indices, valuation basics) :a6, after a5, 25d
  Alts overview                               :a7, after a6, 15d

  section Level II valuation + modeling
  Regression/time-series/ML discipline         :b1, after a7, 40d
  Equity valuation deepening                   :b2, after b1, 40d
  Fixed income arb-free + embedded options + CDS :b3, after b2, 40d
  FSA advanced (consolidation/stock comp/banks) :b4, after b3, 35d
  Active PM + factor models + VaR + backtesting :b5, after b4, 35d

  section Level III integration + pathway
  Capital market expectations + asset allocation :c1, after b5, 35d
  Portfolio construction + trading cost measurement :c2, after c1, 35d
  Performance attribution + appraisal          :c3, after c2, 20d
  Derivative overlays + currency management    :c4, after c3, 25d
  Specialized pathway deep dive                :c5, after c4, 45d
```


Cross-level comparison table

The table below compares **depth/complexity** and **practical relevance** across Levels I–III for a retail trader trying to close “professional gaps.” Depth is a qualitative progression (Intro → Applied → Integrated), and relevance is trader-centric (Low/Med/High), not exam-centric.

Domain (Ethics excluded)	Level I: depth & relevance	Level II: depth & relevance	Level III core: depth & relevance	Level III pathways: depth & relevance
Quant methods & inference	Intro tools; High (return/risk math)	Applied modeling (regression/time-series/ML); High	Embedded in allocation/construction decisions; High	Varies by pathway; Med–High
Economics & FX	Intro macro + FX mechanics; Med	FX parity/equilibrium + growth constraints; Med–High	Capital market expectations heavily macro-linked; High	Private Wealth adds taxes/cross-border FX context; Med–High ²⁷
Financial statement analysis	Statement literacy; High (earnings/event trading)	Advanced FSA (comp, banks, multinationals); High	Used indirectly (institutional constraints, due diligence); Med	Private Markets/Wealth amplify real-world diligence; Med ²⁹
Corporate finance / issuers	Basics (liquidity, structure); Med	WACC advanced + restructuring; Med–High	Shows up as constraints/mandates; Med	Private Markets pathway makes this High (deal workflow). ²⁵
Equity analysis & valuation	Intro structure/indices/valuation; High	Professional valuation toolkit; High	Used as inputs to portfolio design; High	PM Pathway goes deep on index/active equity; High ¹⁹
Fixed income & credit	Curve/duration/credit intro; High	Arb-free pricing, embedded options, CDS; High	Fixed-income portfolio construction + overlays; High	PM Pathway deepens FI strategies; High ¹⁹
Derivatives	No-arb foundations; High	General valuation frameworks; High	Strategy overlays + currency hedging; High	Pathways can add credit/implementation depth; Med–High ¹⁹

Domain (Ethics excluded)	Level I: depth & relevance	Level II: depth & relevance	Level III core: depth & relevance	Level III pathways: depth & relevance
Alternatives	Broad intro; Med	Instrument-specific (commodities/ REITs/HF); Med	Role in multi-asset portfolios; Med-High	Private Markets pathway: High (core); Private Wealth: Med ²⁹
Portfolio management & risk	Intro PM + behavioral + risk mgmt; High	Active PM + multifactor + VaR + backtesting; High	Asset allocation + construction + performance; Very High	All pathways: High , but emphasis differs. ³⁰
Trading/ execution & microstructure	Touches via market organization; Med	ETF mechanics and market risk; Med	Explicit trading costs + electronic markets; High ¹⁹	PM Pathway adds "trade strategy and execution"; High ¹⁹
Performance attribution & appraisal	Minimal; Low-Med	Some measurement, but not attribution-heavy; Med	Dedicated performance evaluation + manager selection; High ¹⁹	Private Wealth emphasizes client reporting; Med-High ²⁷

The key structural reason professional gaps shrink most at Level III is that CFA Institute explicitly designed Level III around a **common core of allocation, construction, performance, and derivatives/risk management**, then layered pathway specialization. ⁴

¹ ³ ⁶ ⁸ ²⁸ <https://www.cfainstitute.org/programs/cfa-program/candidate-resources/level-i-exam>
<https://www.cfainstitute.org/programs/cfa-program/candidate-resources/level-i-exam>

² ⁴ ²² ²⁴ ²⁶ <https://www.cfainstitute.org/programs/cfa-program/candidate-resources/level-iii-exam/specialized-pathways>
<https://www.cfainstitute.org/programs/cfa-program/candidate-resources/level-iii-exam/specialized-pathways>

⁵ ¹¹ ²¹ https://books.google.com/books/about/Options_Futures_and_Other_Derivatives.html?id=PsJ0mwEACAAJ
https://books.google.com/books/about/Options_Futures_and_Other_Derivatives.html?id=PsJ0mwEACAAJ

⁷ ⁹ <https://www.cfainstitute.org/sites/default/files/docs/programs/cfa-program/2026-l1-topics-combined.pdf>
<https://www.cfainstitute.org/sites/default/files/docs/programs/cfa-program/2026-l1-topics-combined.pdf>

¹⁰ https://books.google.com/books/about/Fixed_Income_Analysis.html?id=lujLawVLS3YC
https://books.google.com/books/about/Fixed_Income_Analysis.html?id=lujLawVLS3YC

¹² ¹⁴ <https://www.cfainstitute.org/programs/cfa-program/candidate-resources/level-ii-exam>
<https://www.cfainstitute.org/programs/cfa-program/candidate-resources/level-ii-exam>

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<https://www.cfainstitute.org/sites/default/files/docs/programs/cfa-program/2026-l2-topics-combined.pdf>

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<https://pages.stern.nyu.edu/~adamodar/pdfiles/eqnotes/dcfallOld.pdf>

17 19 23 https://www.cfainstitute.org/sites/default/files/docs/programs/cfa-program/2026leveliii-portfolio-management-pathwaytopicoutline_online.pdf

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<https://academic.oup.com/book/52292>

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